

Racial Equity Audit Report

Amazon

August 30, 2024

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Message from Loretta E. Lynch

It has been encouraging to see companies continue to focus on diversity, equity, and inclusion (“DEI”), as the data shows that diverse backgrounds and experiences serve to positively impact businesses. Amazon.com, Inc. (“Amazon” or the “Company”) is one of those companies that has maintained and fostered its strong commitment to racial equity and inclusion. In 2022, Amazon engaged my law firm Paul, Weiss, Rifkind, Wharton & Garrison LLP (“Paul, Weiss”) to conduct a racial equity audit. Our audit focused on the more than 750,000 U.S. hourly associates at Amazon, the majority of whom are racially or ethnically diverse. Because of Amazon’s unique scale and complexity, we have spent time gaining a strong understanding of the U.S. hourly associate experience.

Our audit assessed, from a racial equity perspective, Amazon’s policies, programs, and practices, which apply throughout an associate’s employment lifecycle, and identified if there were any potential discrepancies in the implementation of these efforts, and where there were opportunities for further enhancement and mitigation of legal risk. We were also mindful that the U.S. hourly employee population is comprised of a majority of racially or ethnically diverse individuals. Under these circumstances, we believe that there could be racial equity implications when a policy or practice negatively impacts the entire associate population. It was thus important to us to hear from the associates themselves. To that end, we held listening sessions in Amazon facilities around the country and conducted a survey to ensure we had the opportunity to capture the opinions of hourly associates we did not get to speak to in-person. We received important feedback about associates’ perceptions on where Amazon was succeeding in its equity and inclusion efforts and where it had opportunities for improvement. We thank all the associates who spoke with us and took the time to take the survey. Your transparency and stories were invaluable to our understanding of the lived experiences of hourly associates.

We learned during this audit that Amazon has committed tremendous resources and efforts to address equity in the workplace. To name but a few, the Company has long supported employee resource groups, called affinity groups at Amazon, to foster inclusion. In 2022, it launched a new promotion process for U.S. hourly associates to mitigate the potential for any unconscious bias. For many years, it has offered numerous channels to solicit feedback from the associates. In June 2023, it centralized its global DEI team and function to bring its company-wide DEI strategy under one umbrella.

While many resources have been expended and much work has been done, we also observed that Amazon had opportunities to enhance its processes around complaint investigations, promotions, performance management, discipline, and termination. These were also the experiences that Amazon associates spoke about at our listening sessions; some of which were voiced in terms of a perceived lack of racial equity. We have found in our racial equity work that these are generally areas in which all companies can improve. Instilling equity into these key processes in an associate’s lifecycle is critical in ensuring associate satisfaction and productivity.

Finally, we highlight a consistent theme that emerged from our discussions: Communication and consistent messaging matter in mitigating perceptions of inequity and fostering inclusion. Not infrequently, associates expressed a desire to know more about Amazon’s current policies, practices or programs. We know Amazon has already taken steps to address some of these communication opportunities and we encourage Amazon to continue thinking creatively about additional avenues to ensure that associates understand Amazon’s policies, programs, and practices, particularly because they can change quickly.

We are deeply grateful to our internal points of contact for their cooperation in this extensive effort. We thank the many subject matter experts and site personnel who took their time to painstakingly explain Amazon’s operations. We also express our gratitude to senior leadership who exemplified the Company’s commitment to DEI and improvement. Before the audit was even completed, Amazon had begun addressing opportunities for enhancing certain areas of the U.S. hourly associate lifecycle. At the audit’s conclusion, we provided Amazon our findings and specific recommendations, which the Company is also taking

steps to address. I commend Amazon for undertaking this effort, which is no easy feat for any business, let alone one of Amazon's scale and complexity.

A handwritten signature in blue ink that reads "Sonetta E. Lynch". The signature is written in a cursive, flowing style.

Overview of the Report

This Report proceeds in five parts. First, we discuss the scope and methodology for the audit, including the associate lifecycle modules. For background, we then provide information on Amazon and its U.S. hourly associate population.

Because Amazon's DEI strategy provides an important foundation to the equitable implementation of its policies, programs, and practices, we next provide an assessment of Amazon's DEI governance and practices as they relate to the U.S. hourly associate population and our observations for enhancements that Amazon may want to consider.

The subsequent sections focus on the associate lifecycle, which we have categorized into 10 modules from recruiting and hiring to termination. Each of these sections includes a summary of what we learned throughout the audit and our observations for suggested improvements that Amazon may want to consider.

Finally, we conclude by identifying specific actionable recommendations we provided to Amazon to enhance certain key areas of the associate experience to help ensure equity in such processes for U.S. hourly associates.

Scope and Methodology

I. Scope

In 2021, Amazon received a shareholder proposal requesting that Amazon's Board of Directors commission an independent racial equity audit analyzing Amazon's impacts on civil rights, DEI, and the impacts of those issues on Amazon's business.¹ In 2022, Amazon received the proposal again, but it was withdrawn following Amazon's announcement in its 2022 proxy statement that it would conduct a racial equity audit.² Subsequently, Amazon engaged this firm to conduct a racial equity audit, focusing on Amazon's U.S. hourly workforce,³ primarily those working in the Worldwide Operations ("WWO") business line.⁴

II. Methodology

Paul, Weiss undertook a thorough in-depth review of Amazon's policies, programs, and practices pertaining to the employment lifecycle of Level 1 and Level 3 ("L1" and "L3") associates.⁵ The associate lifecycle was divided into the following modules:

- Recruitment, Hiring, and New Hire Orientation;
- Compensation and Benefits;
- Onboarding;
- Training;

¹ <https://www.osc.state.ny.us/files/press/pdf/nycrf-amazon-shareholder-proposal.pdf>.

² https://www.sec.gov/Archives/edgar/data/1018724/000110465922045572/tm223357-5_def14a.htm#tSHPR (p. 49).

³ Amazon uses job levels to differentiate role expectations and skill requirements for appropriate compensation. Hourly associates in WWO in the U.S. are primarily comprised of Level 1 and Level 3 associates and constitute the in-scope hourly associate population for this audit. In many of Amazon's facilities, these associates are referred to as Tier 1 and Tier 3 associates. We will refer to the in-scope population as L1 and L3 associates throughout this report.

⁴ Whole Foods Market, PillPack, and any other separately branded businesses were not in scope for the audit.

⁵ Our audit did not include a review of safety policies or practices. In March 2024, Amazon published a safety report detailing its efforts to promote and ensure safety across its facilities. <https://www.aboutamazon.com/news/workplace/amazon-workplace-safety-post-2023>; see also <https://safety.aboutamazon.com/>.

- Associate Feedback Mechanisms;
- Complaints and Investigations;
- Career Development – Career Choice;
- Promotions;
- Performance Management and Discipline; and
- Terminations.

To conduct its audit, Paul, Weiss gathered information from a variety of sources.

- We reviewed hundreds of documents, including training materials, information about Amazon’s organizational structure, and other policy documents.
- We analyzed data relating to certain Amazon policies, programs, and practices.
- We interviewed numerous Amazon subject matter experts responsible for policies, programs, and practices for each associate lifecycle module. We also conducted extensive on-site interviews with People, Experience and Technology (“PXT”)⁶ personnel and area, operation, and general managers and numerous PXT and WWO senior executives.
- We received feedback from thousands of L1 and L3 associates. We held in-person listening sessions with hourly associates across five regions throughout the United States (Northeast, Southeast, Southwest/Texas, Midwest, and California). The sessions were held at fulfillment centers, sortation centers, delivery stations, and an Amazon Air site. We also issued a voluntary survey open to all L1 and L3 associates.
- We provided updates about the progress of the audit to the committee of Amazon’s Board of Directors responsible for oversight of the audit.
- Finally, we interviewed external stakeholders selected with the assistance of Amazon.

Based on this information, we assessed the following with respect to Amazon’s policies, programs, and practices: whether they are consistent with Amazon’s DEI commitments,⁷ and whether there are potential or perceived racial inequities resulting from current implementation and, if so, how to address them.

About Amazon

Amazon is an American multinational technology company that began as an online marketplace for books. It has since expanded its business to include physical stores, e-commerce, cloud computing, and digital streaming among other products and services.⁸ Amazon is headquartered in Seattle, Washington.

Amazon has organized its operations into three segments: North America, International, and Amazon Web Services. The Company evaluates its business performance and manages its operations using these three segments. Amazon’s network of

⁶ PXT includes Amazon’s human resources personnel.

⁷ See *infra* at 5.

⁸ https://s2.q4cdn.com/299287126/files/doc_financials/2024/ar/Amazon-com-Inc-2023-Annual-Report.pdf.

facilities includes office space, physical stores, fulfillment centers, sortation centers, delivery stations, and data centers, in North America and internationally.⁹

Amazon employs approximately 1,525,000 full-time and part-time employees.¹⁰ In 2023, over 69% of Amazon's U.S. workforce was racially or ethnically diverse, identifying as Asian, Black, Latino/a/x, Multiracial, Native American, and NHOPI (Native Hawaiian or Pacific Islander).¹¹ In 2023, Amazon's U.S. workforce was over 78% racially or ethnically diverse in the L1 and L3 associate populations, identifying as Asian (8.8%), Black (36.8%), Latino/a/x (29.8%), Multiracial (0.9%), Native American, and NHOPI (1.7%).¹² The U.S. workforce at Levels 4-7 is about 58% racially or ethnically diverse, identifying as Asian (37.4%), Black (8.9%), Latino/a/x (9.7%), Multiracial (1.8%), Native American, and NHOPI (0.6%).¹³

L1 and L3 associates are categorized as full-time, reduced-time, part-time, and Class X. Full-time associates work at least 40 hours per week; reduced-time associates work 30 to 39 hours per week; part-time associates work 20 to 29 hours per week; and Class X associates (also known as Ready Associates) work fewer than 19 hours per week. L1 associates are further categorized into permanent and seasonal associates. Permanent associates can be full-time, reduced-time, and part-time associates. Seasonal associates, who work for a few consecutive months at a time, and Class X associates are not eligible to participate in all of Amazon's offered benefits.¹⁴

DEI

I. Overview of DEI at Amazon

Amazon is committed to fostering "a culture that creates a safer, more productive, more diverse, and more just work environment."¹⁵ Although not specifically expressed as a DEI commitment, Amazon commits to provide resources and benefits to support its associates' growth and development. The Company also strives to enhance its associate feedback mechanisms to obtain constructive comments on areas for further improvement relating to the associate lifecycle.¹⁶ Investments in those efforts, Amazon believes, will help enhance the experience of all associates, including those who are racially or ethnically diverse.

Historically, Amazon's oversight of DEI was divided among its Global DEI team and DEI professionals dedicated to different business lines. Within the WWO business line, Amazon had DEI professionals whose responsibility included developing the DEI strategy relating to L1 and L3 associates, but also developed strategy for other Amazon employee populations.

Amazon's DEI initiatives for L1 and L3 associates have been focused on inclusion and promotion. Amazon has facilitated participation by L1 and L3 associates in activities hosted by Amazon's affinity groups. It also created a new promotion process to mitigate the potential for unconscious bias to impact career progression.

In 2023, Amazon consolidated the different DEI teams under the new Inclusive eXperiences & Technology ("IXT") organization responsible for the global DEI strategy. The team responsible for the DEI strategy relating to the WWO L1 and L3 associate population is now incorporated into the global DEI strategy. Paul, Weiss believes that this restructuring will greatly assist Amazon in developing and monitoring DEI initiatives dedicated to that associate population.

⁹ *Id.* (pp. 3, 18).

¹⁰ *Id.* (p. 4).

¹¹ <https://www.aboutamazon.com/news/workplace/our-workforce-data>.

¹² *Id.*

¹³ *Id.*

¹⁴ <https://hiring.amazon.com/why-amazon/benefits#/>.

¹⁵ See 2022 Amazon Sustainability Report: Building a Better Future Together, <https://sustainability.aboutamazon.com/2022-sustainability-report.pdf> (p. 64).

¹⁶ *Id.*

Observation

As this new organizational structure develops, we encourage Amazon to continue evaluating whether its team is appropriately resourced to address and monitor unique DEI issues that impact the L1 and L3 associate population.

II. Affinity Groups

Affinity groups are a key component of Amazon's DEI strategy as they help to build community, engage in service projects in local communities, and otherwise provide outreach to communities where Amazon associates live and work. Affinity groups are employee-led organizations in which employees voluntarily participate. Affinity groups are open to all employees. Currently, Amazon has 13 affinity groups, including ones that promote communities and allies associated with people with disabilities; Pan-Asian, Black, Hispanic, Latino/a/x, and Indigenous people and cultures; women; LGBTQ+; body positivity; families and caregivers; active and former military personnel; and mental health and well-being awareness. Amazon's affinity group signage and swag were highly visible at most of the facilities Paul, Weiss visited.

As mentioned, affinity groups have specifically been a focus of Amazon's DEI strategy for the L1 and L3 associate population. Associate feedback suggests that participation in these groups enhances feelings of inclusiveness and belongingness at Amazon. Some associates reported that they enjoyed participating in the community service sponsored by affinity groups. Others saw the groups as an opportunity to get to know facility leadership and develop their careers. Based on associate feedback, Amazon still has opportunities, however, to further increase participation by developing communications explaining the purpose of affinity groups and that all employees, not only salaried ones, are invited to join.

Amazon has already taken steps to enhance communications around affinity groups by expanding information available on the A to Z app¹⁷ to include DEI resources and content, including information about affinity groups. Amazon has seen an increase in affinity group membership rates for the hourly population as a result of these efforts. Amazon also plans to use comment surveys to collect associate feedback to identify and assess trends across demographics, which will provide insight on affinity group funding and programming decisions. Additionally, Amazon is working on organizing and standardizing resources for affinity groups to simplify and facilitate their programming.

Observation

Amazon's initiatives are a promising step to engaging more of the L1 and L3 associate population to participate in affinity groups. We encourage Amazon to continue on that path and to ensure their message about the purpose and benefits of these groups resonates with the U.S. hourly population. Additionally, as membership of L1 and L3 associates grows, Amazon may want to consider whether affinity groups can assist in communicating information to L1 and L3 associates to better help them understand current policies, practices, and programs at Amazon and to consider affinity group messaging that resonates with the particular needs of the L1 and L3 associates.

III. Engagement with Community Organizations

Amazon has numerous partnerships and relationships with organizations across the United States that help the Company reach local communities and historically underrepresented groups. Amazon participates in local community-based initiatives that are specifically focused on the L1 and L3 associate population. For example, associates volunteer in their communities via grassroots organizations to clean up parks, donate school supplies and clothing to students, build houses for families, assemble wish boxes for kids, help people register to vote, and deliver meals to local food banks. Amazon also partners with community-based organizations who assist with communicating to their constituents the availability of employment opportunities. Paul, Weiss spoke with some of the community organizations with whom Amazon works to solicit their views on racial equity efforts relating to the L1 and L3 associate population and DEI strategy. These organizations noted that Amazon's engagement with community

¹⁷ The A to Z app is available to all Amazon employees to access tools to manage their work-life at Amazon and employee-related resources. This app is the primary tool L1 and L3 associates use to manage their employment at Amazon.

groups has increased in the last two years, but there are more opportunities for engagement specifically focused on the hourly workforce and they would welcome deeper engagement with Amazon and its DEI efforts.

Observation

Amazon may want to consider how deeper engagement with community organizations could potentially present opportunities benefitting the L1 and L3 associate populations. Organizations in the same communities that comprise Amazon L1 and L3 associates may provide valuable feedback on these associates' experiences and needs.

Associate Lifecycle Modules

I. Recruitment, Hiring, and New Hire Orientation

Amazon uses a variety of channels to recruit L1 associates, including its hiring.amazon.com website, third-party vendors, and partnerships with organizations whose constituents include veterans, formerly incarcerated individuals, refugee populations, and individuals with disabilities. Although recruiting overall is not specifically targeted at minority communities, the demographic data shows that Amazon's L1 associate population is quite diverse and composed primarily of traditionally under-represented minority groups. Amazon's hiring.amazon.com website includes a feature that allows candidates to select a preferred language for communications, although the only options being offered now are English and Spanish.

Amazon's hiring practices are also equitable for all applicants. All Amazon L1 candidates who submit applications receive contingent offers and an invitation to attend a New Hire Event ("NHE"). After receiving a contingent offer, a candidate must attend an NHE where the candidate takes a badge photo, completes an I-9 form, consents to a background check, learns more about the job details, and takes a drug test. In the last couple of years, Amazon increased locations and extended hours for the NHE sites. It also expanded the type of facilities for NHEs. Such changes increase access to the hiring process for those candidates who, for example, have daytime jobs or family obligations. Amazon has robust processes in place to ensure that background checks and drug testing are administered and evaluated fairly.

Seasonal associates may have the opportunity to transition to permanent associates. We understand that Amazon's hiring website explains the difference between seasonal and permanent associates and that Amazon sends an email to associates to inform them when they become eligible for conversion. However, we learned from the L1 associates we spoke to that some were confused regarding the process of converting from seasonal to permanent and had perceptions of inequity when it appeared as though colleagues who were hired around the same time or later were converted more quickly, especially if the converted colleagues were of a different race or ethnicity. Reasons for conversions are based on business demand, which may not always be understood by associates.

Observation

As Amazon expands its language capabilities in the hiring process, Paul, Weiss encourages Amazon to continue considering how associates whose primary language is not English might be impacted once employed to ensure they continue to have equal opportunities to succeed in performing their job at Amazon and to take advantage of Amazon's benefits.

We also encourage Amazon to consider exploring opportunities to enhance communications about the conversion process from seasonal to permanent associate to address associate confusion and perceptions of inequity regarding the process.

II. Compensation and Benefits

A. Compensation

How Amazon determines its compensation structure for L1 and L3 associates is complex and depends on a variety of factors, including, among others, the location of a facility. An associate's compensation within that structure, however, is based solely on tenure in a role, geographic location (i.e., node), and shift schedule. Associates are informed of their own compensation and each facility publishes the compensation step plan when any changes are made. Paul, Weiss received feedback that how compensation is determined across different nodes is not fully understood by L1 and L3 associates, sometimes contributing to a perception of inequity.

Observation

To the extent reasonable, Amazon may want to consider providing more transparency to L1 and L3 associates about its compensation policy and enhancing its messaging on whom associates should contact when compensations questions arise.

B. Benefits

Amazon also provides a variety of benefits to its L1 and L3 associates.¹⁸ First, Amazon offers medical, dental, and vision health plans. These plans are offered to full-time, reduced-time, and part-time permanent associates who work 20 to 40 hours a week. Any Amazon associate who works fewer than 20 hours a week, regardless of badge status, is ineligible to participate in the health plans. L1 and L3 associates may apply for leave and disability accommodations regardless of their type of employment. Amazon continues to seek opportunities to enhance benefit offerings and improve access to healthcare benefits for its employees, including L1 and L3 associates. For example, Amazon created Neighborhood Health Centers in cities such as San Bernadino, California; Phoenix, Arizona; Fort Worth and Dallas, Texas; Louisville, Kentucky; and Detroit, Michigan. The health centers provide employees access to primary care providers at lower costs and during hours of operation to better accommodate Amazon shift schedules. Additionally, Amazon has developed a well-being resource to provide its employees free mental health therapy sessions.

Additionally, every Amazon employee, including U.S. hourly associates, over 18 years of age is eligible to participate in a 401(k) retirement plan. Permanent L1 and L3 associates are automatically enrolled in the plan after 90 days of employment unless they choose to opt out. The auto-enroll program increases the chance that L1 and L3 associates will participate in the retirement savings plan.

In the past couple of years, Amazon has focused on making communications to L1 and L3 associates about benefits even more accessible. Amazon has leveraged the A to Z app to communicate with employees regarding available health benefits. Amazon has also used the A to Z app, the Fidelity NetBenefits app, and the mobile-enabled website to inform associates about retirement benefits. Efforts have been made to make language relating to retirement benefits even more accessible by providing information in different languages and through different mediums, including short videos and hard copy signage in facilities.

Observation

We recognize that associates may not enroll in the benefits that Amazon offers for a variety of reasons unrelated to Amazon, such as health benefits being available from another source. Paul, Weiss commends the efforts Amazon has underway to analyze how associates enroll in and update their benefits during open enrollment periods.¹⁹ Paul, Weiss encourages Amazon to continue this effort, including investigating whether there are any racial differences in enrollments and utilization of benefits, and, if so, whether those differences can be attributed to any racially or ethnically related root cause that can then be addressed.

III. Onboarding

Amazon's onboarding process is a standardized new hire orientation. Amazon has recognized that having a robust onboarding process that provides education and awareness of an associate's job expectations, understanding of how the organization works, why processes and procedures must be followed, and the role that each individual plays in the business operations, can

¹⁸ Amazon provides a comprehensive list of its benefits offerings to associates on its website: <https://hiring.amazon.com/why-amazon/benefits#/>.

¹⁹ See <https://www.amazon.science/working-at-amazon/visiting-academic-jessie-handbury-uses-economic-data-to-inform-amazon-employee-experience>.

significantly reduce job abandonment. This messaging also helps Amazon create a culture of inclusion and belonging and fosters a workplace where associates feel more valued and respected.

As part of the onboarding process, a trained onboarding facilitator has a one-on-one check-in with each new hire at the end of the new hire's second week of work. This end-of-week-two touchpoint demonstrates Amazon's desire to ensure its new associate population is becoming acclimated and that onboarding and training went smoothly.

Observation

Amazon may consider using the end-of-week-two touchpoint session as an opportunity to ensure associates understand or know where to find the most critical information presented by the orientation, particularly for those whose primary language is not English.

IV. Training

A. L1 Associate Training

Learning Ambassadors, L1 associates selected to train other L1 associates, and L3 associates provide much of the training that an L1 associate receives. The only aspect of L1 associate training that appeared potentially to involve discretion was the selection of associates who participate in cross-training. Cross-training occurs when an L1 associate learns a different process path than the one for which the associate was hired in order to assist with the job rotation schedule. Paul, Weiss received feedback that some associates perceived inequitable opportunities with respect to cross-training even if such decisions were based on business and other health-related risk factors. Since 2022, Amazon has been piloting and expanding its use of technology to automate the scheduling of cross-training to eliminate discretion. Amazon has also developed a communication strategy to explain to associates the rationale behind cross-training, which includes the reduction of ergonomic risk, and thus musculoskeletal disorder.

Amazon has developed a language accessibility and translation component for L1 associate training in sites that are not English as a Second Language ("ESL") certified.²⁰ Nonetheless, in our listening sessions at non-ESL facilities, some associates reported inconsistencies.

In addition to an L1 associate's interaction with their assigned Learning Ambassador and L3 associates, the training period is an opportunity for relationship building between new associates and their direct Area Manager. We heard feedback from some associates that they felt there was a lack of engagement from their Area Manager. Amazon has developed a tool to assist Area Managers in engaging their associates. Amazon may want to consider leveraging this technology during the training process. For example, the technology could remind Area Managers to have periodic touchpoints with new associates in 30/60/90 days. Such early connections could potentially open lines of communications for all associates, helping further mitigate potential future perceptions of inequitable treatment.

Observation

Inconsistencies in the use of languages other than English at non-ESL facilities may create the perception of preferential treatment of certain ethnic groups. Amazon may consider implementing uniform guidelines regarding the use of languages other than English by Learning Ambassadors across all non-ESL sites to mitigate the perception of disparities.

Paul, Weiss anticipates that misperceptions about cross-training decisions may be mitigated as automation procedures for cross-training selection are rolled out and associates gain a better understanding as to why cross-training benefits them and the Company.

²⁰ ESL certified sites have the infrastructure in place to support employees whose preferred language is one other than English.

B. L3 Associate Training

Amazon offers an L3 onboarding program for all newly hired or internally promoted L3 employees that includes skills training, workshops, and manager support. The Company continues to evaluate and enhance these programs. In addition to these programs, certain facilities visited by Paul, Weiss had created supplemental leadership training programs for their L3 associates or used regular meetings and mentorship to provide additional development skills.

Observation

Overall, Paul, Weiss received positive feedback regarding training provided to L3 associates and their access to such training. Paul, Weiss encourages Amazon to continue improving and enhancing its trainings for L3 associates.

V. Associate Feedback Mechanisms

L1 and L3 associates can raise workplace concerns through a variety of channels, including the following:

- Voice of Associate Boards (“VOA”): The VOA program provides feedback opportunities through both physical whiteboards on-site and an online portal known as My Voice, available through the A to Z app.
- Connections: Launched in 2017, Connections is a daily feedback mechanism utilizing a question-of-the-day format. The questions are designed to take less than a minute and are offered in multiple languages.
- Birthday Roundtables: A Birthday Roundtable is a monthly meeting designed to be open to all associates whose birthday falls within that month. Although a Roundtable generally revolves around a preselected topic, it often allows for open discussion.
- Executive Escalations: Through Executive Escalations, associates can directly email the CEO or other C-suite executives with concerns or suggestions.

Paul, Weiss heard during the audit that some associates questioned the effectiveness of providing feedback. However, Amazon regularly monitors these feedback tools and assesses the issues raised by associates. In the fall of 2023, Amazon made changes to several policies as a result of associate feedback and highlighted those changes in a video to its employees.²¹

Observation

Paul, Weiss commends Amazon for addressing issues raised by associates and communicating to them that they were heard. Communicating to associates how Amazon uses employee feedback mechanisms to improve equity in the workplace and overall associate experience can engender trust that Amazon is listening to associate concerns.

We also encourage Amazon to continue monitoring trends based on feedback through the various channels. Amazon may consider whether data studies relating to demographic participation in these feedback tools would enable it to identify any gaps in participation by any racial group.

VI. Complaints and Investigations

Similar to the feedback channels, Amazon also provides numerous avenues through which associates can submit complaints and grievances, including via telephone to an anonymous reporting hotline or Amazon’s employee resource center, the A to Z app, and PXT personnel in facilities. Amazon has multiple platforms that track cases and their statuses for the various types of complaints received.

²¹ <https://vimeo.com/smartcasualapprovals/review/875405368/4c494f2ddf>.

When an associate submits a complaint, it is directed to either a central Amazon investigation team, a PXT staff member at the applicable facility, or occasionally to other specialized teams, for further investigation and resolution. Amazon has robust procedures and guidelines that govern the investigatory process.

Associates receive an email from the central investigation team about the resolution of their complaints. Although PXT personnel handling a complaint or grievance at a facility notify a complainant about the results, there is no standard method for such notification, even if a complainant may have separately received an email from the central investigation team. There is also currently no standard process for in-person post-investigation support for cases handled by either the central investigation team or PXT personnel. We heard about instances when associates did not believe they had learned of the outcome of their complaints, even if in fact, the result may have been conveyed. Others reported that they had learned of investigation results, but did not understand what could be expected next. Because of their belief that they received no follow-up after filing a complaint or insufficient information, associates reported that they felt their complaints were not taken seriously.

Observation

Negative perceptions about Amazon's investigatory process can undermine Amazon's efforts to provide robust channels to raise issues of potential inequity. Accordingly, Paul, Weiss provides recommendations at the end of this Report to mitigate the risk of potential inequity and enhance associates' understanding of the complaint process.

VII. Career Development – Career Choice

Career Choice provides L1 and L3 associates an opportunity to obtain skills and degrees that may be used to develop their career within or outside Amazon. Career Choice consists of three programs:

- Pathways is a short-form educational program to assist with a career outside of Amazon. Pathways is offered across five fields of study: 1) Transportation (such as a Commercial Driver's License); 2) IT; 3) Healthcare; 4) Business Administration; and 5) Mechanical and Industrial Systems (i.e., skilled trades and green jobs). These fields of study represent in-demand jobs.
- Foundations provides ESL, GED, and high school completion courses.
- College tuition reimbursement allows associates to pursue any credit-bearing program offered at a Career Choice-approved school. As of today, Career Choice offers up to \$5,250 annually to full-time associates and \$2,625 for part-time associates. There is no limit on the number of years for which an associate may receive the benefit.

Amazon is continually evaluating the program and has instituted changes to improve the program and access. For example, Amazon focused on adding Historically Black Colleges and Universities, Hispanic Serving Institutions, and Asian American and Native American Pacific Islander Serving Institutions to its college tuition reimbursement program recognizing that such institutions may be particularly supportive of Amazon's minority associates seeking higher education opportunities. It has also initiated a career coaching program available to all associates through a third-party service that offers coaching in English and Spanish.

Observation

Overall, Paul, Weiss received overwhelmingly positive feedback about Amazon's Career Choice program and commends Amazon for providing its L1 and L3 associates these opportunities to upskill or pursue further educational opportunities.

VIII. Promotions

A. L1 to L3 Promotions

In the last two years, Amazon has rolled out a process designed to identify eligible candidates for promotion from an L1 associate to an L3 associate more efficiently. The process also seeks to mitigate potential bias by using standardized criteria to select top candidates and then presenting an anonymized list to hiring managers. Part of the standardized criteria used in selecting top candidates are what have been determined to be certain leadership roles, such as Learning Ambassador.

In special situations, with site PXT's consent, a hiring manager can hire a candidate outside of the list of recommended candidates. Amazon monitors exceptions to ensure that they are not being abused.

During the audit, we received feedback about perceived inequities in the promotion process from L1 to L3. Much of the feedback related to how promotions were determined prior to the launch of Amazon's new process. Paul, Weiss commends Amazon for creating an L1 to L3 promotion process that is intended to remove unconscious bias and provide for equitable opportunities for its L1 associates. Many associates in the listening sessions, however, were not aware that a new process had been implemented. Those who knew about the new process, including site leadership, did not have a complete understanding of how the new process differed from the old one.

Observation

As the new promotion process is refined and improved, Paul, Weiss encourages Amazon to consider how to effectively communicate to associates and leadership how the new promotion process works and its benefits. Also, given that promotion was top of mind for many associates, Paul, Weiss provides recommendations at the end of this Report aimed at ensuring that the new promotion process furthers Amazon's equity goals.

B. L3 to L4 Promotions

To be eligible for L4 promotion, the applicant must have a bachelor's degree or two or more years of full-time experience at Amazon. L3 associates learn about promotion opportunities via physical postings in facilities, the Amazon internal hiring site, word-of-mouth, or by discussing career development with their managers. Candidates may also be recommended for promotion by their managers, either formally or informally. Formal referrals are documented and are included with the L3 associate's application. Informal referrals can also be made, but these are not documented or included as part of the application. L3 associates may apply directly to postings on their own accord. Hiring managers are provided anonymized resumes for review. Candidates are then interviewed by a panel of two to three interviewers. The number of L4 promotions available is dependent on business need.

Observation

Paul, Weiss heard frustration about career advancement opportunities for L3 associates and their perceived inequities for racially or ethnically diverse employees. These perceptions may be driven in part by a belief that there is a more significant decrease in the number of racially or ethnically diverse employees in L4 positions in WWO than actually exists. Promoting from an already diverse pipeline of L3 candidates may help mitigate that perception and help Amazon enhance its diversity of associates in L4 and above positions organically.

Paul, Weiss understands that Amazon has been taking steps to mitigate the potential for any unconscious bias in the L3 to L4 promotion process by expanding the promotion process used for the L1 to L3 positions to the L3 to L4 promotions process. We encourage Amazon to continue these efforts and provide recommendations for Amazon to consider at the end of this Report.

IX. Performance Management and Discipline

Amazon uses various performance dimensions at its facilities to provide feedback to its L1 and L3 associates. Many associates appeared to have a general understanding of the performance dimensions; however, some associates reported that they did not receive timely notification of changes in performance dimensions or policies until they were given negative feedback.

Negative feedback is provided through Amazon's progressive discipline model. Generally, the model includes verbal coaching, written warnings, and termination.

Paul, Weiss heard from some associates that they had observed or experienced verbal discipline being dispensed on the facility floor in front of other associates. Instances of public discipline led some associates to report that they believed that associates were receiving different disciplinary treatment for similar behavior. Additionally, we understand that, in practice, managers use their discretion in imposing discipline for certain infractions. We learned that, as a result, many associates had the perception that the disciplinary process was unfair and inequitable.

Amazon requires one-on-one conversations before an official disciplinary action is taken. These discussions facilitate a manager's understanding of why an associate had performance issues or violated a policy. We heard from associates that they sometimes received write-ups without receiving such discussions, which potentially contributes to the perception we heard from associates that discipline is being administered unfairly. We understand guardrails have been implemented to ensure managers log these conversations relating to terminations. Ensuring that such conversations happen throughout the disciplinary process could mitigate perceptions of inequity.

Amazon has also focused on finding ways to make delivering positive feedback easier and more frequent. Positive feedback can be delivered and received through associates' phones, face-to-face conversations, and physical bulletin boards or TV screens in facilities.

WWO leadership periodically looks at data relating to performance management to monitor for any disciplinary trends.

Observation

To mitigate some of the dissatisfaction reported by associates, Amazon may want to consider the best ways to deliver to associates timely updates on changes to performance dimensions. Amazon has multiple options. Some associates reported that the preferred communication channels included the A to Z app, text messages, inStallments, and start-up meetings. Paul, Weiss also understands that this year Amazon is launching an initiative to centralize communications to its facilities nationwide to create consistent communications.

Paul, Weiss also encourages Amazon to continue its efforts to increase positive feedback, particularly as positive feedback and personal interaction can foster an associate's feelings of inclusion and belonging.

Because Paul, Weiss repeatedly heard dissatisfaction with performance management and discipline from associates, Paul, Weiss provides Amazon with recommendations to mitigate potential inequity in these processes at the end of this Report.

X. Terminations

Amazon monitors associates leaving on their own accord and associates who are asked to leave due to disciplinary, safety, performance, and other infractions.

Amazon reviews this data to identify if there are any areas for improvement in the L1 and L3 associate experience. For example, attendance and unpaid time-off ("UPT")²² overuse are common reasons that L1 and L3 associates are asked to leave. Because of

²² UPT permits an associate to be absent from work during an assigned shift. Associates earn UPT the more hours that they have worked. UPT is not deducted if another paid form of time off applies to the absence, such as paid time off, leave of absence, or accommodations. Associates can also

this, Amazon is considering whether it can offer employees more flexibility about when to show up to work, considering that many L1 and L3 associates have competing obligations outside of work and could benefit from Amazon introducing more flexibility for associate work schedules. In October 2023, Amazon also increased the pace in which UPT could be accrued and allowed associates to use UPT in smaller increments.

Amazon also has a robust disciplinary appeal process that allows L1 and L3 associates to appeal final written disciplinary actions or terminations. However, we learned that not all associates understood how to initiate an appeal or what the process entailed. Paul, Weiss understands that Amazon has been rolling out an improved appeals process. In this process, associates can apply for appeals through the A to Z app rather than through a separate web portal. The goal is to enable appeals to be resolved quickly and consistently.

Observation

After the new appeals program has been launched for a sufficient time, Paul, Weiss encourages Amazon to evaluate ease of use by associates and examine whether any identifiable barriers to use are being experienced by any associate population.

Because termination is so closely tied to performance management, Paul, Weiss also provides recommendations at the end of this Report to mitigate against any potential inequities.

Conclusion & Recommendations

Amazon is deeply committed to DEI and providing equitable opportunities to its U.S. hourly associates. The Company's multitude of programs and initiatives available to associates throughout their tenure at Amazon provides ample evidence of that. Nevertheless, through this audit, we identified areas where there were perceptions of inequity or opportunities for additional enhancements to mitigate potential future risks. These areas include complaint investigations, promotions, performance management, discipline, and terminations.

To that end, Paul, Weiss provides the following recommendations:

1. Amazon should consider conducting periodic analyses of its complaint data to ensure that there are not statistically significant differences in the number of complaints filed or outcomes impacting different racial groups.
2. Unconscious bias training of Amazon personnel handling complaints raised by associates can further mitigate potential inequities in the complaint and investigation process.
3. Amazon should consider creating guidance and accountability for in-person follow-up relating to harassment-related complaints. This enhancement may assist in reducing the perception among L1 and L3 associates that their complaints are not being heard.
4. Amazon should consider examining which selection criteria in the L1 to L3 promotion process contain elements of discretion or may implicate potential inequities among associates, to determine if the data shows any unintended outcomes.
5. Amazon should also continue to encourage hiring managers to use the new process for L1 to L3 promotions and monitor any deviations from the process.

accrue UPT for working overtime, among other reasons. However, if an associate exceeds their allotted UPT and starts leaving work early or arriving to work late when they do not actually have UPT to use, they become subject to discipline.

6. Amazon should require that all referrals for L3 to L4 promotions be logged to mitigate against risks of potential bias.
7. Periodic monitoring of demographic data relating to those referrals will also help Amazon to identify any trends in referrals.
8. Amazon should continue its efforts in examining performance management data and consider a deep dive into data relating to disciplinary actions if it identifies statistically significant differences in the way that discipline is being applied to certain groups.
9. Amazon should continue its efforts in examining the data relating to terminations to ensure that its policies and practices are being applied equitably.
10. Amazon should consider how it can strengthen its accountability structure and training to ensure conversations are occurring before formal disciplinary action is taken.

Paul, Weiss encourages Amazon to continue to address perceptions of inequities more generally through enhanced transparency and communication.

Amazon is committed to addressing the opportunities identified in this Report. We hope that Amazon will consider this Report an additional building block as it continues pursuing its DEI goals.